

SECTION 6: AGGREGATE DEMAND AND AGGREGATE SUPPLY

(Note: Despite the fact that the AD-AS model was not explicitly required in the CE and AL syllabuses, in tackling a number of CE/AL questions, the AD-AS framework can still be applied.)

6.1 DEMAND- AND SUPPLY-SIDE FACTORS AFFECTING NATIONAL INCOME

MARKING SCHEME

1990/CE/II/37 C	1993/CE/II/38 A	1997/CE/II/44 D	2001/CE/II/30 D	2008/CE/II/28 D (55%)
1991/CE/II/41 B	1993/CE/II/43 D	1997/CE/II/46 B	2004/CE/II/31 A (31%)	2019/DSE/I/27 A
1991/CE/II/45 B	1993/CE/II/51 A	2000/CE/II/34 C	2005/CE/II/30 C (73%)	2019/DSE/I/38 C
1992/CE/II/49 B	1997/CE/II/22 A	2000/CE/II/38 C	2006/CE/II/32 C (48%)	2020/DSE/I/27 C
2020/DSE/I/35 B	2021/DSE/I/36 B	2022/DSE/I/28 D	2022/DSE/I/37 A	2023/DSE/I/28 A
2023/DSE/I/30 A	2025/DSE/I/37 C			

- 1990/CE/I/3/(b)(i)
HK\$ depreciate
⇒ Export prices ↓ (1)
⇒ Export volume ↑ (2)
⇒ Boom in export sector (2)
⇒ Aggregate demand ↑ ⇒ price level ↑ (2)
(max: 6)
- 1990/CE/I/05(b)(ii)
↑ sales tax on all commodities ⇒ prices of all goods ↑ (2)
↓ standard rate ⇒ income after tax of the rich ↑
⇒ consumption ↑ ⇒ aggregate demand ↑ ⇒ general price level ↑ (4)
- 1992/CE/I/5(c)
(ii) a continuous rise in the general price level (2)
- (iii) Construction of the airport
⇒ ↑ in aggregate demand for resources / demand for workers (2)
⇒ inflation occurs when Hong Kong is near full employment (2)
- 1994/CE/I/10(a)(ii)
Local construction workers:
- more job opportunities
- income ↑
Whole economy:
- consumption expenditure ↑ / more business
- GNP ↑
- employment ↑
- social capital ↑
- higher economic growth

1995/CE/I/9(c)

- (i) - consumption expenditure
- investment expenditure
- government expenditure
- exports or net export
- imports or net export

(Mark the **FIRST TWO** points only.)

(1@, max: 2)

- (ii) [Note: the answer must match with the answer to (c)(i)]

Consumption expenditure $\uparrow \Rightarrow$ GDP $\uparrow$

(1)

e.g. US residents spent more on food, hotel accommodation, traveling, souvenirs, etc.

(2)

OR

Investment expenditure $\uparrow \Rightarrow$ GDP $\uparrow$

(1)

e.g. more investment in the provision of transport service, accommodation, food supplies, etc.

(2)

OR

Government expenditure $\uparrow \Rightarrow$ GDP $\uparrow$

(1)

e.g. US government expenditure on infrastructure related to the event, expansion / maintenance of stadiums, etc.

(2)

OR

Net exports $\uparrow \Rightarrow$ GDP $\uparrow$

(1)

e.g. more tourists' spending on transport, accommodation, food, clothing, souvenirs, etc.

(2)

(3@, max: 6)

(Mark the **FIRST TWO** points only.)

1996/CE/I/12(c)

Demand-side factor:

- government expenditure (in current year) increases

(2)

Supply-side factor:

- the labour productivity would be raised

(2)

OR

- labour supply would increase because workers originally outside the labour force will be attracted

(2)

(max: 2)

$\therefore$ GDP (both in current year and in future) would increase.

(1)

(Mark the **FIRST** demand-side factor and the **FIRST** supply-side factor only.)

1997/CE/I/9(d)(i)

prices of most goods and services after tax $\uparrow$ / cost of production $\uparrow$ / supply of goods and services $\downarrow$

(1)

$\therefore$ price level $\uparrow$

(1)

2004/CE/I/10

After-tax income (i.e. "disposable income") increased.

(2)

Consumption expenditure would increase.

(2)

$\therefore$ GDP would increase.

2005/CE/I/11(a)

Zero tariff encourages more export of goods.

(2)

Easier market entry encourages more investment.

(2)

Both measures will increase the GDP of Hong Kong.

(1)

2007/CE/I/8(b)(ii)

- a larger labour force

- These top-quality Mainland students have a higher productivity.

- These top-quality Mainland students can increase the productivity of the local employees when they work together / brings knowledge and new ideas to Hong Kong.

(1@, max: 2)

[Mark the **FIRST TWO** points only]

2009/CE/10(a)

- net exports: more net exports (or more export of services) due to more tourists from mainland China
- consumption: more earnings and income will boost consumption expenditure
- investment: more investment (local and from the Mainland), e.g., more hotels and trading firms.
- government expenditure: more government expenditure, e.g., more on infrastructure to facilitate the trade (2@, max: 4)

2019/CE/19(c)

- (i) - more facilities (attractions) will be constructed $\Rightarrow$ increase in investment expenditure (2)
- (ii) - more tourists from mainland China and other places $\Rightarrow$ increase in net exports (export of services)
- OR
- more local visitors $\Rightarrow$ increase in private consumption expenditure (2)

2019/DSE/II/10

(b) Verbal elaboration:

(4)

The middle income group is charged a lower average tax rate, their disposable income rises, consumption and aggregate demand increase, narrowing the deflationary gap.

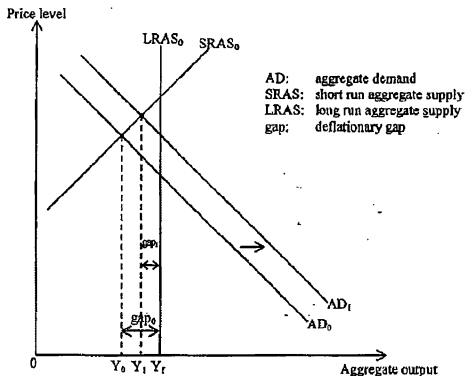
Illustrate in the diagram:

- correct initial deflationary gap
- AD shift rightward ²
- correct new Y with a smaller gap

(1)

(1)

(1)



For: Pros of the monetary policy OR Cons of the fiscal policy

(2)

- The monetary policy increases Y via investment which will help enhance present/future productivity (while the tax policy may not have such an effect).
- The tax policy may worsen the fiscal balance of the government (while the monetary policy will not have such an effect).
- any other relevant point

Against: Pros of the fiscal policy OR Cons of the monetary policy

(2)

- The tax policy may narrow the income gap (while the monetary policy won't have such an effect).
- Bank loans and money supply may not increase even if there is a fall in the required reserve ratio (while the tax policy will not be affected by the action of commercial banks).
- any other relevant point

D) The investment may include importer raw material which is not the contribution of local resident producing unit.

The investment may include the value of inventories which are not produced in current year.

The investment may include the value of intermediate goods (electricity and other raw materials) which are the contribution of other resident producing unit.

(Mark the first 2 answers) (3 marks)

2023/DSE/II/7b

(b) Verbal elaboration:

- As more travellers visit the country, export of services increases. (1)
- Aggregate demand increases. (1)
- Aggregate output increases, narrowing the deflationary (output) gap. (1)

Indicate in the diagram:

- rightward shift of AD curve (1)
- increase in Y, decrease in deflationary (output) gap (1)